advertisements, investors may be susceptible to basing their investment decisions on information that is inaccurate or creates an inaccurate impression of the fund's performance.[755]

In recent years, many funds have reduced their fees they impose on investors. The staff has observed that some funds have highlighted low fees in their advertising materials as a salient factor for investors to consider when choosing among funds. For example, we understand that some funds are advertised as "zero expense" or "no expense" funds based on the information included in their prospectus fee tables, potentially leading investors to believe these funds impose no costs even though the adviser or an affiliate may be collecting fees (*e.g.* securities lending costs) from the investor's fund investment. As a result, investors may be more likely today to consider a fund's fees when making their investment choices than they were when the Commission last updated the investment company advertising rules.[756] Also as a result, funds may face increased incentives to understate or obscure fees in their advertising materials.

Advertising can reduce information asymmetries with implications for investor search costs and effects on investor choices and investment outcomes. Lower search costs can lead to

---

[755] *See* Rule 156 Adopting Release, *supra* footnote 662; Investment Company Sales Literature Interpretive Rule, Investment Company Act Release No. 10621 (Mar. 8, 1979) [44 FR 16935 (Mar. 20, 1979)], at paragraph accompanying n.5.

[756] *See, e.g.*, Michael Goldstein, *Issues Facing the U.S. Money Management Industry: Presentation to SEC Asset Management Advisory Committee*, at 27-28, *available at* https://www.sec.gov/files/Empirical-Research-Issues-Facing-US-MM.pdf; Ben Phillips, *Remarks and Discussion: U.S. Securities and Exchange Commission, Asset Management Advisory Committee*, at 2, 8, and 15 (Jan. 14, 2020), *available at* https://www.sec.gov/files/BenPhillips-CaseyQuirk-Deloitte.pdf.

more efficient matches between investor preferences and choices. Advertising can also make investors worse off, however.[757] It depends on the abilities of investors to make effective use of the information that the advertising conveys. On the one hand, a fund advertisement can convey information that reduces information asymmetry between the fund and the investor. The effects can be lower search costs for the investor and a lesser chance of a mismatch between the investor's preferences and the fund that is ultimately chosen. However, investors may respond to advertising in ways that are not consistent with their own interests. The effectiveness of the advertising in lowering search costs and improving match efficiency depends on the investor's ability to understand the information. For example, a positive relation between funds' marketing efforts and investor flows (cash investment from investors) is well-documented among mutual funds.[758] In that context, the adviser to the fund bears marketing expenses as part of its total operating cost, and fund shareholders are found to bear some of that cost in the form of fund expenses—unless shareholders react by switching to a similar fund that has lower expenses. One study observed that funds charge higher fees to cover the marketing cost as they engage in an "arms race" for similar pools of investors.[759]

---

[757] *See, e.g.,* Nikolai Roussanov, Hongxun Ruan, & Yanhao Wei, *Marketing Mutual Funds*, Nat'l Bureau of Econ. Research, Working Paper No. 25056 (2018) (developing and estimating a structural model of the effects of mutual fund marketing with costly investor search).

[758] *See, e.g.,* Prem Jain & Joanna Wu, *Truth in Mutual Fund Advertising: Evidence on Future Performance and Fund Flows*, 2 J. FIN 937 (2000) (finding that advertising in funds increases flows (comparing advertised funds with non-advertised funds closest in returns and with the same investment objective)); Gallaher, Kaniel & Starks (2006) and Kaniel & Parham (2016) (finding a significant and positive impact of advertising expenditures and the resulting media prominence of the funds on fund inflows). Steven Gallaher, Ron Kaniel & Laura T. Starks, *Madison Avenue Meets Wall Street: Mutual Fund Families, Competition and Advertising* (SSRN, Jan. 2006) *available at* https://papers.ssrn.com/sol3/papers.cfm?abstract_id=879775.; Ron Kaniel & Robert Parham, *WSJ Category Kings – The Impact of Media Attention on Consumer and Mutual Fund Investment Decisions*, 123 J. FIN. ECON. 1 (2016).

[759] *See* Roussanov, Ruan, & Wei, *supra* footnote 757.

Some of this cost is passed on to investors according to their abilities to distinguish among funds. The authors suggest that as fees increase, investors with a high search cost would be more likely to be made worse off by the increase in fees and related marketing expenditures than those with low search costs. This is because the investors with the high search costs would be more likely to match with asset managers of poor ability, and because the higher fees would reduce returns.

Under current rules, fund advertising may influence investor choice in ways that depend on the ability of the investor to make effective use of the information in the advertisement. When the investor is able to make effective use of the information, advertising can reduce the investor's search cost and thereby improve the efficiency of the match between the investor's choices and preferences.

C. Costs and Benefits

Where possible, we have attempted to quantify the costs, benefits, and effects on efficiency, competition, and capital formation expected to result from the proposed rule. We are providing both a qualitative assessment and quantified estimates of the potential economic effects of the proposed amendments where feasible. As explained in more detail below, because we do not have, and in certain cases do not believe we can reasonably obtain reliable quantitative evidence to use as a basis for our analysis, we are unable to quantify certain economic effects. For example, because the proposed rule would provide fund investors with more tailored, concise disclosure than they currently receive, it is possible that readership of fund disclosure may increase. We do not have reliable quantitative estimates of the extent to which the use of more concise disclosure would enhance readership compared to the baseline scenario in which funds continue to deliver the materials that investors now receive. Similarly, the format and content of the proposed annual and semi-annual reports could reduce the

amount of time and effort shareholders require to monitor their fund investments and make portfolio decisions (that is, whether to buy additional shares, continue to hold, or sell a fund investment). We also do not have reliable quantitative estimates of the extent to which the delivery of these more concise, tailored reports would reduce the amount of time and effort investors require to make portfolio decisions, or the value of that time and effort to investors. Nor do we have such estimates for the baseline conditions without the proposed rule. In those circumstances in which we do not have the requisite quantitative evidence, we have qualitatively analyzed the economic impact of the proposed rule and the baseline environment. Our inability to quantify these costs, benefits, or other effects does not imply these effects are less significant from an economic perspective. We request that commenters provide any information, including relevant data or supporting quantitative evidence, that may help inform our analysis and understanding of the economic consequences of the proposed rule and amendments.

1. Broad Economic Considerations

In addition to the comments we received in response to the Fund Investor Experience RFC, discussed in Section I.B, academic studies have documented potential benefits of providing more concise and tailored disclosure. While some of these studies apply only to certain elements of our proposal, others apply broadly to the framing of our analysis of the economic impacts of the proposed rule. In particular, some of this research has identified characteristics that may increase the effectiveness of a disclosure document to consumers, as discussed below.[760]

---

[760] *See* George Loewenstein, Cass R. Sunstein, & Russell Golman, *Disclosure: Psychology*

Research suggests that, because individuals can exhibit limited ability to absorb and understand the implications of the disclosed information, for example due to limited attention or low level of financial sophistication,[761] more targeted and simpler disclosures may be more effective in communicating information to investors than more complex disclosures. Academic studies suggest that costs, such as from increased investor confusion or reduced understanding of the key elements of the disclosure, are likely to increase as disclosure documents become longer, more complex, or more reliant on narrative text.[762] Consistent with such findings, other empirical evidence suggests that disclosure simplification may benefit consumers of disclosed information.[763] In general, academic research appears to support the notion that shorter and more focused disclosures could be more effective at increasing investors understanding than longer, more complex disclosures. For example, a concise shareholder report or a prospectus fee summary could more effectively communicate information to investors than current shareholder reports or prospectus fee tables.

Changes Everything, 6 ANN. REV. ECON. 391 (2014) ("Lowenstein Paper"). The paper provides a comprehensive survey of the literature relevant to disclosure regulation.

761 See, e.g., David Hirshleifer & Siew Hong Teoh, *Limited attention, information disclosure, and financial reporting*, 36 J. ACCT. & ECON. 337 (2003) ("Hirshleifer & Teoh Study") and L.E. Willis, *Decision making and the limits of disclosure: The problem of predatory lending: Price*, 65 MD. L. REV. 707 (2006).

762 See, e.g., Samuel B. Bonsall & Brian P. Miller, The Impact of Narrative Disclosure Readability on Bond Ratings and the Cost of Debt, 22 REV. ACCT. STUD. 608 (2017) and Alistair Lawrence, Individual Investors and Financial Disclosure, 56 J. ACCT. & ECON. 130 (2013).

763 *See, e.g.,* Sumit Agarwal, et al., *Regulating Consumer Financial Products: Evidence from Credit Cards*, Nat'l Bureau of Econ. Research, Working Paper No. 19484 (Jun. 2014), *available at* https://www.nber.org/papers/w19484 (finding that a series of requirements in the Credit Card Accountability Responsibility and Disclosure Act (CARD Act), including several provisions designed to promote simplified disclosure, has produced substantial decreases in both over-limit fees and late fees, thus saving U.S. credit card users $12.6 billion annually).